these unicorns raised about $90 billion (around Rs 7 lakh crore) in funding and have a combined valuation of $333 billion (Rs 25.8 lakh crore) by industry estimates. India is now in the top league of countries with the most unicorns, after the US and China.

But that story seems to be losing its shine now as the sector goes through a massive correction. The Ukraine war has stoked inflation, prodding central banks to raise interest rates to rein it in, leading to more costly capital. As money becomes more expensive and the geopolitical environment gets more uncertain, investors are becoming more selective, asking a lot more questions than they used to and, in some cases, even shying away from risky businesses they would have backed earlier. Start-up investments by private equity (PE) and venture capital (VC) firms fell by half in April to $1.6 billion (Rs 7,760 crore) on a year-on-year basis, says a report from Indian Private Equity and Venture Capital Association-EY.

Huge funds were chasing start-ups in a market that was flush with liquidity in the Covid years as countries resorted to big stimulus measures. Covid also gave start-ups the perfect opportunity to cash in on a situation where physical restrictions were the new normal. Online retailers, food aggregators and edutech companies were among those who benefited the most as their models help circumvent physical barriers to deliver products and services to the consumers' doorsteps. Valuations of such start-ups went through the roof, with the first half of calendar year 2021 seeing the most action in recent times. Start-up funding in the first five months of 2021 touched a record high of $8.76 billion (Rs 67,979 crore), almost 80 per cent higher than the funds received in the first half of 2020. A few of them, including payments firm Paytm, lifestyle retailer Nykaa, insurance aggregator Policybazaar and food tech firm Zomato, went on to list on the stock markets. They had mixed fortunes, but their listing on the exchanges seemed to symbolise a coming of age for Indian start-ups. But now the tide has turned.

"We flourished in an environment where resources and capital were abundant," says Gaurav Munjal, co-founder and CEO of Unacademy. "But now we must change our ways. Winter is here." In a recent letter to staff, Munjal said that tech stocks are crashing and burning globally due to tighter monetary policies and rising interest rates. "We are looking at a time where funding will dry up for at least 12-18 months. Some people are predicting 24 months. We must adapt."

60,000
No. of new start-ups since 2016

600,000
Estimated staff working in the start-ups

14,000
No. of start-ups added in the boom period of 2021-22

100
No. of Indian start-ups in the unicorn club

$90 BILLION
(around Rs 7 lakh crore)
Funding raised by Indian unicorns

$333 BILLION
(Rs 25.8 lakh crore)
Combined valuation of Indian unicorns



"EARLIER, START-UPS HAD THE LEVERAGE AND EVERYONE WAS RUSHING IN TO INVEST. BUT NOW, THE LEVERAGE HAS SHIFTED TO VENTURE CAPITALISTS AND PRIVATE EQUITY PLAYERS"

PRASHANT CHOKSEY
Co-founder, Mumbai Angels

CHANGING SCENARIOS

A big reason for the correction has been the easing of the pandemic. Almost all major economies barring China have opened up following the three debilitating waves of the pandemic. China, whose financial capital Shanghai was under strict lockdown in the past few weeks, has eased restrictions to an extent. In India, most offices in cities and major towns are working at full capacity. Even large technology firms like Tata Consultancy Services and Infosys are thinking of getting most of their staff back to work. Schools in some states have reopened to a completely offline model. With the easing of physical restrictions, there has been a bigger demand for physical shopping, eating out and travel. This has dented the exceptionally high demand for online retail, food and education businesses. The edutech business has been particularly hit. Bangalore-based edutech firm Udayy reportedly shut down a few days ago, after laying off their 100-120 staff. "We had enough capital in our books, but the business no longer made sense in the offline world...customer acquisition cost became very expensive," co-founder Saumya Yadav said in a media interview.

Yet another reason is the uncertainty surrounding Russia's war on Ukraine, which has stoked inflation